



Term Evaluation Theory (Even) Semester Regular Examination February 2026

Roll no.....

Name of the Course: B.Com (H) ACCA
Semester: II
Name of the Paper: Management Accounting
Paper Code: BCH 202 AC
Time: 1.5 hour

Maximum Marks: 50

Note:

- Answer all the questions by choosing any one of the sub-questions
- Each question carries 10 marks.

Q1. (10 Marks)

- a. Describe the purpose and role of cost and management accounting within an organization. (CO-1)

OR

- b. Identify and explain the attributes of good information (CO-1)

Q2. (10 Marks)

- a. From the following particulars, prepare contract account. (CO-1)

Contract Price	4,00,000
Certified Work	1,20,000
Cash Received	90,000
Materials Purchased	60,000
Wages paid	42,000
Plant issued	10,000
Overheads charged	3,000
Cost of uncertified work	10,500
Material in hand	5,000
Depreciation on plant	10%

OR

- b. What is responsibility accounting. Discuss its various components (CO-1)

Q3. (10 Marks)

- a. Describe different remuneration methods. (CO-1)

OR

- b. Record the following transactions in the Stores Ledger Account of X Ltd. by adopting FIFO method: (CO-2)

15.1.2025	Receipt 250 units costing Rs. 312.50
21.2.2025	Receipt 100 units costing Rs. 130.00
24.3.2025	Receipt 50 units costing Rs. 67.50
05.4.2025	Issue 55 units
19.4.2025	Receipt 50 units costing Rs. 70.00
25.4.2025	Issue 300 units
03.5.2025	Issue 40 units

Q4. (10 Marks)

- a. A company uses components at the rate of 500 units per month, which are bought in at a cost of \$1.20 each from the supplier. It costs \$20 each time to place an order, regardless of the quantity ordered. The total holding cost is 20 % per annum of the value of inventory held (CO-2)

OR

- b. Explain the following terms: Target Costing and Absorption Costing. (CO-2)



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Q5. (10 Marks)

a. Explain the concept of Activity Based Costing. Discuss its merits and demerits. (CO-2)

OR

b. Below is the enumerated expenditures in the manufacturing of 'X': (CO-2)

Raw Materials	56,000
Fuel	13,800
Electric Power	2,680
Process and General Wages	1,27,000
Repairs	4,800
Light and Water	800
Rent	4,000
Rates and Insurance	600
Haulage	2,120
Office Salaries	14,000
Administration Expenses: Office	10,000
Depreciation on Machinery	5,000
Total	2,40,800
Tons Manufactured	34,400

Prepare a Cost sheet showing the cost per ton of each expense and the total cost per ton.